OFFERING MEMORANDUM

Zephyr Cottages | Portland, OR

Property	Zephyr Cottages
Location	5503 Orchard Parkway, Portland, OR 16550
Property Type	Single-Family Rental
Size	181 homes
Year Built	1975
Offering	Unpriced - Offers Due February 13, 2018

Investor Distributions

Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 5.6% with an equity multiple of 1.16x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Homes average 1,527 square feet with average monthly rent of $2,091. Turn costs average $14,000 per home, and the in-house maintenance team handles most work orders within 40 days.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 2.4% with an equity multiple of 1.21x over the hold period. Turn costs average $219,000 per home, and the in-house maintenance team handles most work orders within 2 days. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 4.8% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Supply and Demand

Median household income within a 7-mile radius of the property is approximately $279,000 and has grown 3.9% annually. Rent growth in the submarket has averaged 4.5% annually over the past 11 years. Zephyr Cottages is located in Portland, OR, a market that has recorded 6.3% population growth over the last five years. Turn costs average $406,000 per home, and the in-house maintenance team handles most work orders within 30 days. Homes average 1,527 square feet with average monthly rent of $2,091. Market vacancy for comparable Single-Family Rental product stands at 13.6%, down from 6.6% two years ago.

The Portland Single-Family Rental market has experienced absorption of 4500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Single-Family Rental product stands at 2.5%, down from 6.5% two years ago. Investor demand for Single-Family Rental assets in Portland remains strong with recent trades at capitalization rates between 6.50% and 6.50%. Zephyr Cottages is located in Portland, OR, a market that has recorded 3.3% population growth over the last five years.

Investor Distributions

The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Homes average 1,527 square feet with average monthly rent of $2,091. Projected levered IRR is 6.0% with an equity multiple of 1.39x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Homes average 1,527 square feet with average monthly rent of $2,091. Projected levered IRR is 6.2% with an equity multiple of 1.27x over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Market Overview

Investor demand for Single-Family Rental assets in Portland remains strong with recent trades at capitalization rates between 7.84% and 7.84%. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 1-mile radius of the property is approximately $431,000 and has grown 2.8% annually. The Portland Single-Family Rental market has experienced absorption of 4800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

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If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of OR. Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Zephyr Cottages and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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